

2013	100,000	51,315
2014	100,000	46,650
2015	100,000	42,410
2016	100,000	38,554
2017	Sale price 1,000,000	385,543
Total	1,000,000 (rounded)	

Buying at the steep discount to intrinsic value enabled us to get a 50 + percent annualized return on the investment, even though the gas station was only generating a 10 percent return for us based on the cash invested.

As an aside, if we ran some Kelly Formula calculations on the gas station the conservative odds on making a two to three year investment might be as follows:

Odds of a 2 times or greater return in three years	80 percent
Odds of a breakeven to 2-times return in three years	15 percent
Odds of a total loss to breakeven return in three years	5 percent

We always want to be conservative. Let's further simplify the above as:

Odds of a 2-times return in three years	80 percent
Odds of breaking even in three years	15 percent
Odds of a total loss in three years	5 percent